THE SESSION · POST-CLOSE READ

Hormuz and *Sacramento*

A renewed U.S.–Iran exchange put Brent near $90 and the averages modestly lower to close August, while a failed liability-reform push in California weighed on one utility holding. Dividend Strategy −0.47% finished ahead of DVY; Growth Portfolio −0.55% trailed IUSG.

S&P 500 ▼ 0.35% · NASDAQ ▼ 0.13% · DOW ▼ 0.70% · VIX 14.9 · BRENT ▲ $90

DIVIDEND STRATEGY

▲ BEAT DVY · TRAILED SPY

−0.47% 1-DAY

FCI	−0.47%
DVY	−0.79%
SPY	−0.31%

YTD **+21.71%** vs DVY +16.93% · SPY +13.06%

GROWTH PORTFOLIO

▼ TRAILED IUSG

−0.55% 1-DAY

FCI	−0.55%
IUSG	−0.32%

YTD **+22.64%** vs IUSG +13.77%

THE SESSION

August closed the way it traded — with the Iran conflict setting the tape's terms and ownership discipline doing the quiet work. The weekend sequence the morning brief laid out resolved in orderly fashion: U.S. forces struck IRGC launchers positioned to mine the Strait of Hormuz, Iran answered with a missile-and-drone strike on U.S. bases in Jordan, and Brent settled near $90, up roughly 2.7% in its first response to a direct U.S. strike on Iranian assets in over a month. Equities absorbed it without drama. The S&P 500 eased 0.35%, the Dow 0.70%, and the Nasdaq just 0.13%, with the VIX closing under 15 — a restrained reading for a session that opened on escalation headlines — and the averages still closed out a positive August. Rate expectations, not the strikes, remain the tape's organizing question: September hike odds held near 60% after the Jackson Hole reset, and Chair Warsh used Monday's G20 remarks to describe an era of "secular growth" and a global investment surge — language that argues for patience from policy, and for owners, conviction.

The sleeves finished the session close to their benchmarks and well ahead of them on the year. Dividend Strategy eased 0.47% — ahead of DVY's −0.79% by a clear margin, a step behind SPY's −0.31% — with QCOM's advance and NTR's firmness offsetting softness in med-tech and defense. Growth Portfolio gave back 0.55% against IUSG's −0.32%, and the gap traces to a single line: Edison International's 23% decline on the collapse of California's wildfire-liability reform. Away from that one position, the sleeve's franchises were firm — NVDA, AMD, NOW, and FTNT all advanced, and CVX carried the energy bid.

One holding's difficult session is the argument for owning fifty-two. ***The headline is a day; the franchises are the asset.***

The week ahead is the densest of the labor-market cadence: ISM Manufacturing and JOLTS Tuesday, ADP and the Beige Book Wednesday, ISM Services Thursday, and the August employment report Friday morning — consensus near +90,000 — all feeding the September 15–16 FOMC with the hike distribution near a coin flip. We enter it positioned as we were: Dividend Strategy +21.71% on the year, +4.78 points ahead of DVY; Growth Portfolio +22.64%, +8.87 points ahead of IUSG. Nothing in Monday's session — not the strikes, not Sacramento — changes what these businesses earn.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

QCOM +3.79% DIVIDEND
Led the sleeve on a fresh slate of AI announcements, including the Horizon Ultra AI PC unveiled with HUMAIN — another visible step in the diversification beyond handsets into PCs and data-center compute. Goes ex-dividend ($0.92) September 3.

FTNT +2.97% GROWTH
Extended its post-earnings advance toward the top of its 52-week range as the cybersecurity group firmed into an industry-conference week and demand tied to AI-driven network security stayed front of mind.

NTR +2.75% DIVIDEND
Advanced with the agricultural-inputs complex; steady accumulation rather than a company-specific event.

NOW +2.29% GROWTH
The enterprise-software re-rating carried into a third session as capital continued to favor the workflow layer of the AI trade.

CVX +2.14% GROWTH
The sleeve's most direct beneficiary of the crude bid, with Brent settling near $90 after the weekend's exchange around the Strait of Hormuz.

DECLINERS

EIX −23.10% GROWTH
California lawmakers declined to curb insurers' subrogation claims against utilities and advanced a wildfire bill that leaves investor-owned utilities carrying fire liability; Mizuho cut the shares to Neutral. A Sacramento event, not an operational one — peer PG&E fell sharply on the same news.

YMM −3.92% GROWTH
Eased with Chinese ADRs after the Hang Seng's Monday decline; the China-internet complex remains out of favor while capital crowds toward AI hardware.

CRDO −2.82% GROWTH
Gave ground with AI-connectivity peers as the compute layer of the trade cooled; no company-specific development.

MRVL −2.29% GROWTH
Traded lower with custom-silicon names in the same rotation; no single-name catalyst.

GD −2.10% DIVIDEND
Declined with a broadly lower defense group even as a seven-year interceptor agreement naming General Dynamics and Lockheed was announced — a sell-the-news session after a strong August for the primes.

HOLDINGS NEWS

Edison International: Sacramento declines to move. California's legislature rejected the proposal to end insurer subrogation suits against utilities and, ahead of Monday's deadline, advanced a wildfire bill that keeps investor-owned utilities responsible for fire liability. Mizuho cut EIX to Neutral with a $70 target, and the company had already recorded $1.6 billion in Eaton Fire settlement-related losses through June 30. This is a legislative outcome, not a change in the utility's operations; analysts expect the sector to press for reform again in 2027, and we will watch that window with the position sized as one line among twenty-five.

Qualcomm: the diversification thesis gets another proof point. Monday's announcements — led by the Horizon Ultra AI PC with HUMAIN on the Snapdragon X platform — extend the push into enterprise AI computing that management says will accelerate nonhandset revenue into fiscal 2027, after automotive and IoT revenue grew 28% year over year last quarter. The market paid up 3.79% for the progress; owners collect the $0.92 dividend at Thursday's ex-date either way.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+21.71%

vs DVY +16.93% / SPY +13.06%

Spread vs DVY (lead benchmark) **+4.78 pts**

GROWTH PORTFOLIO

+22.64%

vs IUSG +13.77%

Spread vs IUSG (lead benchmark) **+8.87 pts**